



GCE A LEVEL MARKING SCHEME

PREDICTED PAPER – HARD

A LEVEL

ECONOMICS – COMPONENT 2

A520U20-1

About this marking scheme

The purpose of this marking scheme is to provide teachers, learners and other interested parties with an understanding of the assessment criteria used to assess this specific assessment.

This predicted (Hard) marking scheme mirrors the structure, mark allocations and assessment objective weightings of the 2024 WJEC/Eduqas A Level Economics Component 2 paper. It is pitched at a demanding level, using the UK inflation crisis of 2021-23 and the energy market as its vehicles. It is not an official WJEC document.

GENERAL MARKING GUIDANCE

Positive Marking

It should be remembered that learners are writing under examination conditions and credit should be given for what the learner writes. It should be possible for a very good response to achieve full marks and a very poor one to achieve zero marks.

For each question there is a list of indicative content which suggests the range of economic concepts, theory, issues and arguments which might be included in learners' answers. This is not intended to be exhaustive and learners do not have to include all the indicative content to reach the highest level of the mark scheme.

The level-based mark schemes sub-divide the total mark to allocate to individual assessment objectives. Learners' responses to questions are assessed against the relevant individual assessment objectives and they may achieve different bands within a single question.

GCE A LEVEL ECONOMICS – COMPONENT 2
PREDICTED (HARD) MARK SCHEME

Question 1

1	1	Using the data, explain the main causes of the rise in UK inflation between 2021 and 2022 (Figure 1).		[5]
Band	AO1	AO2	AO3	
2	1 mark Knowledge Clear knowledge of the causes of inflation (cost-push/demand-pull).	2 marks Good application Strong reference to Figures 1, 4 and/or 6 to support the analysis.	2 marks Good analysis Developed chain of reasoning on why inflation surged.	
1	1 mark Limited Some awareness of the causes of inflation.	1 mark Limited Limited references to the data.	1 mark Limited Chain of reasoning lacks clarity.	
0	0 None.	0 None.	0 None.	

Indicative content

AO1

Cost-push inflation: rising input costs (especially imported energy and food) shift SRAS leftwards, raising the price level. Demand-pull inflation: aggregate demand growing faster than potential output causes inflation. Monetary inflation: rapid growth of the money supply relative to real output raises nominal prices.

AO2

Figure 1 shows CPI rose from 0.9% in early 2021 to 11.1% by October 2022. Figure 4 shows M4 annual growth accelerated to 15.5% in Q1 2021 during the pandemic – well above typical levels. Figure 6 shows that in late 2023 the largest component contributions came from food (1.6pp) and housing/energy (1.1pp).

AO3

Energy price shock: Russia's invasion of Ukraine (Feb 2022) caused wholesale gas prices to rise nine-fold, feeding through to domestic and industrial energy costs. This is a classic cost-push shock that raises prices across goods where energy is an input.

Supply-chain disruption: container shipping costs rose over 700% in 2021 as global supply chains struggled to cope with post-Covid rebound. Shortages pushed up prices of traded goods.

Demand-pull: rapid reopening of economies released pent-up household saving. UK consumption grew strongly in 2021 despite constrained supply.

Monetary expansion: the Bank of England engaged in £450bn of asset purchases during 2020-21, expanding broad money (Figure 4). Some economists link the money-supply surge directly to subsequent inflation.

Labour supply: increased economic inactivity (long-term illness, early retirement) tightened the labour market. Job vacancies reached record highs in 2022, pushing up wages (Figure 3) and adding to cost pressures.

Sterling weakness around Brexit and during 2022 raised imported inflation.

Allow any other valid points.

1	2	Using the data, explain why the Bank of England raised Bank Rate so aggressively between December 2021 and August 2023 (Figure 2).	[5]
Band	AO2	AO3	
		3 marks Excellent analysis Well-developed reasoning covering multiple motivations for tightening.	
2	2 marks Good application Strong use of Figures 1, 2 and 4.	2 marks Good analysis Developed reasoning on the rationale for tightening.	
1	1 mark Limited use of data.	1 mark Chain of reasoning under-developed.	
0	0	0	

Indicative content

AO2

Figure 1 shows CPI peaked at 11.1% in October 2022, more than five times the 2% target. Figure 2 shows Bank Rate rose from 0.1% to 5.25% in under two years – the steepest tightening cycle since 1989. Figure 4 shows M4 had grown at 15.5% in 2021.

AO3

Primary mandate: the MPC must return inflation to the 2% target over the medium term. With inflation above 10%, failure to tighten aggressively would risk the Bank's credibility and allow expectations to become de-anchored.

Expectations management: if households and firms came to expect persistently high inflation, wage and price-setting behaviour would change (Figure 3 shows wage growth accelerating to 8%). Anchoring expectations required a visible, aggressive response.

Second-round effects: the initial cost-push shock could become entrenched via higher wages, higher prices, higher wages – the wage-price spiral. Rate rises are the principal tool to prevent this.

Monetary aggregates: the earlier expansion of broad money (Figure 4) had created inflationary pressure; rate rises and quantitative tightening (Figure 8) directly unwind this.

Signalling: raising rates signals to financial markets and trading partners that the UK is committed to price stability; this supports sterling and lowers imported inflation.

Real rates: even at 5.25% nominal, real rates remained close to zero through 2022-23 given the high CPI; the MPC had to keep tightening just to achieve any real restraint.

Allow any other valid points.

1	3	How effective is the UK's policy response (Figure 8) likely to be in returning inflation to the 2% target without causing a recession?		[10]
Band	AO2 (3 marks)		AO3 (3 marks)	AO4 (4 marks)
3	3 marks Excellent Data used well on both sides; strong use of Figure 8.		3 marks Excellent Well-developed chains on the effectiveness of the policy mix.	3-4 marks Excellent Well-developed counter-arguments; reasoned overall judgement.
2	2 marks Data used on one side.		2 marks Developed chains.	2 marks Developed counter-arguments.
1	1 mark		1 mark	1 mark
0	0		0	0

Indicative content

Effectiveness of monetary tightening (AO3)

Bank Rate at 5.25% passes through to mortgages and loans with a lag of 12-18 months. With most UK mortgages fixed for 2-5 years, the full demand-dampening effect was still arriving in 2024.

Figure 7 shows GDP growth had stalled – consistent with tight monetary conditions reducing AD.

QT unwinds the earlier M4 expansion (Figure 4), addressing the monetary roots of the inflation.

Expectations: aggressive action restored the MPC's credibility. Long-term gilt yields fell from their 2022 peak as expectations re-anchored.

Energy Price Guarantee cushioned households without fully offsetting the real-terms squeeze, so demand restraint was preserved.

Weaknesses (AO4)

The cost-of-living shock hit households unevenly. The 8% wage growth in late 2023 (Figure 3) created concerns about second-round effects; real-wage catch-up could sustain inflation above target.

Fiscal support totalling £40bn (Energy Price Guarantee) adds to aggregate demand, working against the MPC's tightening. A looser fiscal stance requires tighter monetary policy, pushing up mortgage payments.

Monetary policy has long and variable lags; by the time inflation returns to target, policy may have overshoot and pushed the economy into recession. Figure 7 shows growth turned negative in Q4 2023.

Public-sector pay awards of 5-7% lock in higher wage growth, slowing disinflation.

Supply-side measures (childcare, over-50s schemes) take years to raise participation meaningfully.

Energy prices may remain volatile due to geopolitical factors; cost-push shocks could return.

Overall: the policy mix has reduced headline CPI from 11.1% to around 4%, but returning to 2% without recession remains uncertain. The fiscal-monetary tension and the risk of labour-market second-round effects create significant downside. Allow any other valid points.

1	4	Using the data, discuss the extent to which the rise in Bank Rate is likely to reduce UK inflation (Figures 1 and 2).		[10]
Band	AO2 (3 marks)		AO3 (3 marks)	AO4 (4 marks)
3	3 marks Figures 1, 2, 3, 7 used on both sides.		3 marks Developed chains of reasoning.	3-4 marks Well-developed counter-arguments; overall judgement.
2	2 marks		2 marks	2 marks
1	1 mark		1 mark	1 mark
0	0		0	0

Indicative content

AO3 (reduces inflation)

Higher rates raise the cost of borrowing, reducing consumption and investment, shifting AD leftwards. Figure 7 shows weakening UK growth consistent with tighter conditions.

Mortgage payments rise when fixes expire: a £250,000 loan at 5.25% costs around £600/month more than at 2%. This reduces disposable income and discretionary spending.

Higher rates strengthen sterling (higher returns attract capital inflow), reducing imported inflation – important given how much of UK CPI comes from imported energy and food (Figure 6).

QT alongside rate rises withdraws liquidity, reducing the M4 overhang (Figure 4) that some economists blame for the inflation.

Anchoring inflation expectations breaks the feedback into wage and price setting.

AO4 (limits to effectiveness)

The inflation shock was predominantly cost-push (Figure 6): energy, food and imported goods. Interest rates do not directly reduce these prices – they simply compress demand until prices stabilise.

Transmission is slow: most UK mortgages are on fixed rates, so only around 30% of households feel the higher rate in any year. Reduced demand from rate rises takes 12-18 months to fully feed through.

Supply-side factors (Ukraine war, OPEC+ decisions) are outside monetary policy's control; rate rises cannot resolve them.

Fiscal support (£40bn energy guarantee) partially offsets the tightening.

Wage growth of 8% in late 2023 (Figure 3) reflects labour-market tightness rather than rate-sensitive spending, limiting the tool's bite.

If the Bank over-tightens, the risk is a deeper recession than needed – Figure 7 already shows negative growth in Q4 2023.

Overall: rate rises are a powerful tool for reining in inflation once second-round effects threaten, but are a blunt instrument against the original cost-push shock. Their effect is real but gradual and carries recession risk. Allow any other valid points.

1	5	Using the data, discuss whether the fall in real wages during 2022-23 (Figure 3) is likely to have a lasting effect on the UK economy.		[10]
Band	AO2 (3 marks)		AO3 (3 marks)	AO4 (4 marks)
3	3 marks Figures 3, 5, 7 used on both sides.		3 marks Developed chains.	3-4 marks Well-developed counter-arguments; overall judgement.
2	2 marks		2 marks	2 marks
1	1 mark		1 mark	1 mark
0	0		0	0

Indicative content

Lasting effects (AO3)

Real wages fell for over 18 months (Figure 3: CPI exceeded nominal wage growth throughout 2022 and much of 2023). The cumulative loss relative to a 2% trajectory is around 7-8% of purchasing power – permanently foregone.

Consumer confidence collapsed (Figure 5: GfK index -42 in Q4 2022). Prolonged low confidence weighs on consumption even after real wages recover.

Household savings were run down to sustain consumption, leaving balance sheets weaker going into any future shock.

The distributional effect is severe: lower-income households spend more on energy/food (Figure 6: largest contributors), so their real-wage loss exceeds the average.

Industrial action (rail, teachers, NHS) saw high participation and strengthened union density – a lasting shift in UK labour-market institutions.

Productivity: cash-strapped firms defer capital investment (Figure 7: weak investment growth), with long-run consequences for the supply side.

Transient effects (AO4)

Nominal wage growth of 8% in late 2023 (Figure 3) was rapidly recovering the lost ground. Real-wage growth returned in Q4 2023 as inflation fell.

Labour-market tightness persists; the 2024 National Living Wage rise of 9.8% further supports pay.

Household savings built up during Covid cushioned consumption; many households were able to sustain spending through the squeeze.

Confidence (Figure 5) was already recovering in late 2023 as inflation fell and wage growth strengthened.

Employment remained high throughout – unlike previous inflation shocks (e.g. 1980) that combined real wage falls with large unemployment. The UK avoided a labour-market scarring effect.

The UK has recovered from similar episodes (1973-75, 1979-81, 2008-10); monetary policy generally restores stability within 2-3 years.

Overall judgement: the real wage fall was severe and its distributional and balance-sheet effects may persist for years, especially for lower-income households. However, employment resilience and the rapid nominal wage catch-up in late 2023 suggest the macroeconomic scarring will be more limited than feared. Allow any other valid points.

Question 2

2	1	Using the information provided on the UK energy market, outline the characteristics of a natural monopoly.	[5]
Band	AO1	AO2	
3		3 marks Excellent Strong use of the case to illustrate.	
2	2 marks Good Comprehensive understanding.	2 marks Good Good use of the case.	
1	1 mark	1 mark	
0	0	0	

Indicative content

AO1/AO2

Very high fixed costs and economies of scale over a wide range of output: duplicating transmission networks (pylons, pipelines) would waste resources. Long-run average cost falls continuously over the relevant demand range, so a single producer is most efficient.

Case: UK electricity and gas transmission networks are natural monopolies – each region has a single operator.

Regulated (because the single firm has strong market power): Ofgem regulates prices and service quality through RII price controls.

High barriers to entry: capital cost, licensing, network-access rights.

Sunk costs: networks have little alternative use, so entry is irreversible.

Product tends to be homogeneous: electricity delivered via a network is indistinguishable across suppliers.

Retail supply is competitive in principle, but the Ofgem price cap (Figure 2) effectively constrains price variation, and consolidation following the 2021-22 shock has moved the market towards concentrated oligopoly with natural-monopoly characteristics in procurement and risk-bearing.

2	2	Using Figure 3, calculate the marginal revenue (MR) and marginal cost (MC) for each of the output levels (MWh sold) from 0 to 80,000. Record the answers in your pink answer booklet. Using your answers explain at what level of output Power-Up Ltd will, in theory, maximise profits.		[7]
Band	AO1	AO2	AO3	
3		3 marks Excellent All MC and MR data complete.	3 marks Excellent Well-developed reasoning on profit-max.	
2		2 marks Minor errors.	2 marks Developed reasoning.	
1	1 mark Knowledge of MC=MR condition.	1 mark Significant inaccuracies.	1 mark Under-developed.	
0	0	0	0	

Indicative content

AO1

Profits are maximised where $MC = MR$ (or, with discrete data, the largest output at which $MR \geq MC$).

AO2

Price (£/MWh)	MWh (000s)	TR (£000s)	MR (£000s per 000)	TC (£000s)	MC (£000s per 000)
£260	0	0	–	2,000	–
£240	10	2,400	240	3,600	160
£220	20	4,400	200	5,000	140
£200	30	6,000	160	6,400	140
£180	40	7,200	120	7,800	140
£160	50	8,000	80	9,400	160
£140	60	8,400	40	11,200	180
£120	70	8,400	0	13,400	220
£100	80	8,000	-40	16,200	280

For both MR and MC correctly calculated: AO2: 3

For MR and MC correctly calculated with minor errors: AO2: 2

For either MR or MC correctly calculated: AO2: 1

AO3

Profits are maximised at an output of 30,000 MWh (price £200/MWh) where MR (160) exceeds MC (140). At 40,000 MR (120) is below MC (140), so producing the extra 10,000 MWh reduces profit. Total profit (TR - TC) at 30,000 = £6,000k - £6,400k = a loss of £400k. However, this is the loss-minimising output – at zero output the loss is £2,000k (fixed cost). The natural-monopoly cost structure (high fixed costs, initially falling MC) is characteristic of this industry. Allow OFR.

2	3	Using a costs and revenue diagram, evaluate the effects on an energy supplier's abnormal profits of Ofgem tightening the price cap.			[10]
Band	AO1 (3 marks)		AO2 (2 marks)	AO3 (2 marks)	AO4 (3 marks)
3	3 marks Excellent Accurate diagram showing regulated price below monopoly profit-max; clear effect.				3 marks Excellent Fully discussed with overall judgement.
2	2 marks Good Minor errors.		2 marks Good Case used well.	2 marks Good Chain of reasoning.	2 marks Good Counter-arguments.
1	1 mark		1 mark	1 mark	1 mark
0	0		0	0	0

Indicative content

AO1

Diagram: monopoly equilibrium at $MC = MR$, price set on AR above AC. Tighter price cap imposes a horizontal demand constraint below P_{monopoly} . The firm now produces at the output where $P(\text{cap}) = MC$ (or produces to meet demand at that cap). AR is effectively truncated at the cap; abnormal profit rectangle $(AR - AC) \times Q$ shrinks or disappears.

AO2

Ofgem cap history (Figure 2): cap rose from £1,277 to £4,279 during 2021-23 crisis; since fallen to £1,923. 29 suppliers failed in 2021 because the cap lagged wholesale costs. Tighter cap means lower wholesale-cost pass-through and narrower retailer margin.

AO3

Suppliers lose the ability to set prices optimally. The abnormal profit rectangle shrinks because P falls while MC is unchanged. If the cap is set below AC , the firm makes losses.

Quantity demanded may rise slightly (lower price), increasing TR but also TC; net profit effect depends on price elasticity of demand.

AO4

A tighter cap improves consumer welfare (lower bills, especially for low-income households) and addresses the market failure of monopoly pricing. 29 million households are on standard variable tariffs subject to the cap.

If set too tight, the cap drives suppliers into losses and bankruptcies (as in 2021). Supplier failures impose costs on remaining customers via the Supplier of Last Resort levy.

Tighter cap reduces incentive to invest in customer service, innovation (smart meters, time-of-use tariffs) and the transition to low-carbon heating.

Alternative remedies: break up incumbents, mandate data sharing, social tariffs for vulnerable households, expand competition in the wholesale market.

Regulatory capture and lag: Ofgem's cap formula is complex and slow to respond; suppliers may game the formula.

Overall: tightening the cap reduces abnormal profits in the short run but risks market instability if pushed too far. The optimal level balances consumer protection against market viability; Ofgem's challenge is calibration. Allow any other valid points.

2	4	Evaluate the view that price regulation (such as the Ofgem price cap) is the best way to protect consumers in a natural-monopoly industry.		[7]
Band	AO1	AO3	AO4	
3			3 marks Strong evaluation with overall judgement.	
2	2 marks Clear understanding.	2 marks Chain of reasoning.	2 marks Counter-arguments.	
1	1 mark	1 mark	1 mark	
0	0	0	0	

Indicative content

AO1

Price regulation (direct price caps, RPI-X, RIIO) sets or constrains the price a firm can charge, preventing it from exploiting market power. It is used in the UK for energy transmission, water, rail and telecoms access.

AO3 (in favour)

Natural monopolies face no competitive pressure, so without regulation they price above MC and earn abnormal profits – a welfare loss.

Price regulation is transparent and straightforward: consumers see a clear ceiling.

Caps deliver immediate benefits to consumers; 29 million households are on the Ofgem cap.

Enforceable: Ofgem monitors and penalises breaches, giving credible protection.

Can be combined with quality standards to prevent firms from cutting corners.

AO4 (alternatives / weaknesses)

Competition for the market (franchise bidding, periodic tenders) can discipline firms without direct price controls – used for some bus routes and rail franchises.

Yardstick competition: regulators compare firms against each other to set targets (RIIO uses this approach). Rewards efficiency gains.

Public ownership: eliminates the profit motive entirely, used historically for gas, water and rail. Risk of public-sector inefficiency.

Regulation captures and distorts: price caps too tight drive firms into losses (29 failures in 2021); too loose fail to protect consumers.

Caps may reduce incentives to invest (e.g. in Net Zero transition) if the regulated return is too low.

Complexity and regulatory lag: Ofgem's cap formula lagged the wholesale price shock by 3-6 months, creating the 2021 supplier failures.

Price regulation addresses price but not quality – additional instruments needed.

Overall: price regulation remains a useful tool for natural monopolies, but is rarely sufficient on its own. The best consumer protection usually comes from a mix: price regulation + quality standards + yardstick/franchise competition where feasible. Allow any other valid points.

2	5	With reference to the data, discuss the extent to which the consolidation of the UK energy market since 2021 reduces economic welfare.			[11]
Band	AO1 (2 marks)	AO2 (2 marks)	AO3 (3 marks)	AO4 (4 marks)	
3			3 marks Developed explanation.	3-4 marks Very well-developed counter-arguments; overall judgement.	
2	2 marks Welfare clearly defined.	2 marks Case used on both sides.	2 marks Developed analysis.	2 marks Counter-arguments.	
1	1 mark	1 mark	1 mark	1 mark	
0	0	0	0	0	

Indicative content

AO1

Economic welfare is the sum of consumer and producer surplus. Harmful consolidation reduces competition, raises prices, reduces choice and slows innovation. Beneficial consolidation captures economies of scale and improves resilience.

AO2

Figure 1 shows 7 firms now hold around 92% of the market – after 29 supplier failures in 2021. British Gas (Centrica) 21%, Octopus 18%, OVO 17%. Figure 2: cap rose from £1,277 to £4,279 then fell back.

Harm to welfare (AO3)

Fewer suppliers reduces competitive pressure on service quality and innovation (smart tariffs, heat-pump bundles).

Higher concentration raises the risk of tacit collusion on prices within the cap structure.

Loss of consumer choice: consumers had 70+ suppliers in 2018; now effectively 7-8.

Switching activity has collapsed since 2022; without switching, competitive discipline weakens further.

Large suppliers may lobby regulators for favourable rules, raising the risk of regulatory capture.

Benefits / limits (AO4)

Consolidation around well-capitalised firms improves market resilience. The 29 failures of 2021 imposed £2-3bn on remaining customers via the SoLR process; a more stable structure avoids repeat episodes.

Economies of scale in procurement, hedging and IT allow lower unit costs – potentially passed to consumers.

Entry by Octopus (growth from 0 to 18% in under a decade) shows the market is still contestable; not a closed oligopoly.

The price cap constrains exploitation of market power even at higher concentration; welfare losses from consolidation may be limited.

Larger firms can better finance the Net Zero transition (heat pumps, smart grids) – a dynamic welfare gain.

Ofgem retains strong regulatory powers and can block anti-competitive mergers (the CMA has scrutinised recent acquisitions).

Overall: consolidation reduces static competition and some welfare, but the benefits of resilience, scale and investment capacity partially offset this. The price-cap regime and the threat of entry from firms like Octopus keep the net welfare effect ambiguous. Allow any other valid points.

Assessment Objectives Grid

	AO1	AO2	AO3	AO4	Total	No. parts
1a	1	2	2		5	2
1b		2	3		5	2
1c		3	3	4	10	2
1d		3	3	4	10	2
1e		3	3	4	10	2
2a	2	3			5	2
2b	1	3	3		7	2
2c	3	2	2	3	10	3
2d	2		2	3	7	2
2e	2	2	3	4	11	3
Total	11	23	24	22	80	

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